

D774

Introduction to Business Accounting

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

The plant manager at a furniture maker that has been family-owned for three generations asks for a report projecting next quarter's costs by product line so she can decide which chairs to keep making. The company's auditors are a large national firm. What kind of accounting is this?

- A. Tax accounting
- B. Financial accounting, because the company is audited.
- C. Managerial accounting
- D. Financial accounting, because all reports must follow GAAP.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A landscaping company that won a "best local business" award buys a \$30,000 truck, paying \$10,000 in cash and signing a note for \$20,000. The truck is expected to last seven years. What is the effect on the accounting equation?

- A. Assets +\$30,000; liabilities +\$30,000.
- B. Assets +\$20,000; liabilities +\$20,000; equity unchanged.
- C. Assets -\$10,000; equity -\$10,000.
- D. Assets +\$30,000; liabilities +\$20,000; equity +\$10,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3. [TRANSFER — reversed stem / different variable]

A company reports total assets of \$500,000 and total liabilities of \$320,000. What is total equity?

- A. \$320,000
- B. \$820,000
- C. \$180,000
- D. \$500,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A café owner whose shop was featured on a travel blog wants to know how much cash her business produced from day-to-day operations this year versus how much came from a new bank loan. Which statement answers this?

- A. The statement of cash flows
- B. The annual budget
- C. The income statement
- D. The balance sheet

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A sporting goods store with 25 employees had sales of \$800,000, cost of goods sold of \$480,000, and operating expenses of \$200,000. Its best month was July. What is gross profit?

- A. \$120,000
- B. \$480,000
- C. \$600,000
- D. \$320,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A company's gross profit is \$150,000 and its gross margin is 30% of sales. What were sales?

- A. \$500,000
- B. \$195,000
- C. \$45,000
- D. \$350,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A food truck that parks near a university pays \$2,500 a month for its permit and insurance, buys ingredients for each meal, and pays its cook a fixed monthly salary. The owner plans to repaint the truck in spring. Which cost is variable?

- A. The repaint
- B. The permit and insurance
- C. The cook's salary, because it is paid every month.
- D. Ingredients

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A small company sells wireless speakers for \$80 each. Variable cost is \$50 per speaker, and fixed costs are \$45,000 a month. Its marketing team recently won a regional ad award. How many speakers must it sell each month to break even?

- A.** 900
- B.** 346
- C.** 1,500
- D.** 563

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

9. [TRANSFER — reversed stem / different variable]

Using the same speaker company (\$30 contribution margin per unit, \$45,000 fixed costs), how many units must it sell to earn a \$15,000 monthly profit?

- A.** 1,500
- B.** 2,000
- C.** 500
- D.** 1,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

10.

A bottling plant budgeted 10,000 cases with variable costs of \$4 per case and fixed costs of \$20,000. It produced 12,000 cases after winning a new grocery contract. Actual total cost was \$70,000. What flexible budget cost should actual cost be compared with?

- A.** \$68,000
- B.** \$60,000
- C.** \$72,000
- D.** \$48,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	____	

11. [TRANSFER — reversed stem / different variable]

Actual costs were \$70,000. The static budget was \$60,000 and the flexible budget at actual volume is \$68,000. What is the spending variance, and how is it labeled?

- A.** \$10,000 unfavorable
- B.** \$2,000 favorable
- C.** \$8,000 favorable
- D.** \$2,000 unfavorable

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A bicycle manufacturer with a showroom downtown incurs factory rent, frame steel, assembly-line wages, and sales commissions. Its sales staff are paid monthly. Which cost is a period cost?

- A.** Factory rent
- B.** Sales commissions
- C.** All four, since the company is a manufacturer.
- D.** Frame steel

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer C Concept 1

The plant manager at a furniture maker ~~that has been family-owned for three generations~~ asks for a report projecting next quarter's costs by product line so she can decide which chairs to keep making. ~~The company's auditors are a large national firm.~~ What kind of accounting is this?

Target word: financial vs. managerial **Decides:** Internal user, forward-looking, by segment.

A	Adjacent category	Tax work serves tax filing, not product decisions.
B	Camouflage	An audit covers external statements, not internal projections.
C	Correct	Internal, forward-looking, detailed information for a decision.
D	Absolute language	Internal reports have no required format.

2. Answer B Concept 2

A landscaping company ~~that won a "best local business" award~~ buys a \$30,000 truck, paying \$10,000 in cash and signing a note for \$20,000. ~~The truck is expected to last seven years.~~ What is the effect on the accounting equation?

Target word: effect on totals **Decides:** Truck +30,000, cash –10,000, note +20,000.

A	Dropped element	Forgets that cash went down by \$10,000.
B	Correct	Net assets rise $\$30,000 - \$10,000 = \$20,000$, matched by the note.
C	Inverted operation	Treats the cash payment as an expense.
D	Adjacent category	The cash paid is an asset swap, not an owner investment.

3. Answer C Concept 2 · transfer

A company reports total assets of \$500,000 and total liabilities of \$320,000. What is total equity?

Target word: solve for equity **Decides:** Equity = Assets – Liabilities.

A	Wrong stem number	The liabilities total.
B	Inverted operation	Adds instead of subtracts.
C	Correct	$\$500,000 - \$320,000 = \$180,000$.
D	Dropped element	Leaves out liabilities.

4. Answer A Concept 3

A café owner ~~whose shop was featured on a travel blog~~ wants to know how much cash her business produced from day-to-day operations this year versus how much came from a new bank loan. Which statement answers this?

Target word: which statement **Decides:** Sources of cash by activity.

A	Correct	Splits cash into operating, investing, and financing.
B	Adjacent category	A plan, not a record of actual cash.
C	Confusion set	Shows profit, not cash sources, and excludes loan proceeds.
D	Confusion set	Shows the loan balance at a date, not cash flows by activity.

5. Answer D Concept 4

A sporting goods store with 25 employees had sales of \$800,000, cost of goods sold of \$480,000, and operating expenses of \$200,000. ~~Its best month was July.~~ What is gross profit?

Target word: gross profit **Decides:** Sales – COGS.

A	Adjacent category	That is operating income: \$320,000 – \$200,000.
B	Wrong stem number	The cost of goods sold.
C	Confusion set	Subtracts operating expenses instead of COGS.
D	Correct	$\$800,000 - \$480,000 = \$320,000$.

6. Answer A Concept 4 • transfer

A company's gross profit is \$150,000 and its gross margin is 30% of sales. What were sales?

Target word: solve for sales **Decides:** Sales = gross profit / gross margin.

A	Correct	$\$150,000 / 0.30 = \$500,000$.
B	Adjacent category	Adds 30% to gross profit rather than solving for sales.
C	Inverted operation	Multiplies by 30% instead of dividing.
D	Confusion set	That is cost of goods sold.

7. Answer D Concept 5

A food truck ~~that parks near a university~~ pays \$2,500 a month for its permit and insurance, buys ingredients for each meal, and pays its cook a fixed monthly salary. ~~The owner plans to repaint the truck in spring.~~ Which cost is variable?

Target word: identify the variable cost **Decides:** Ingredients rise with each meal sold.

A	Camouflage	A one-time outlay unrelated to meals sold.
B	Confusion set	Same each month regardless of meals.
C	Adjacent category	Paid often but fixed in amount.
D	Correct	Total ingredient cost rises and falls with meals sold.

8. Answer C Concept 6

A small company sells wireless speakers for \$80 each. Variable cost is \$50 per speaker, and fixed costs are \$45,000 a month. ~~Its marketing team recently won a regional ad award.~~ How many speakers must it sell each month to break even?

Target word: break-even units **Decides:** CM = \$80 – \$50 = \$30.

A	Inverted operation	$\$45,000 / \50 divides by variable cost.
B	Confusion set	$\$45,000 / \130 adds price and variable cost.
C	Correct	$\$45,000 / \$30 = 1,500$.
D	Dropped element	$\$45,000 / \80 leaves out variable cost.

9. Answer B Concept 6 • transfer

Using the same speaker company (\$30 contribution margin per unit, \$45,000 fixed costs), how many units must it sell to earn a \$15,000 monthly profit?

Target word: target-profit units **Decides:** (Fixed + target) / CM.

A	Wrong stem number	That is break-even, with zero profit.
B	Correct	$(\$45,000 + \$15,000) / \$30 = 2,000$.
C	Dropped element	$\$15,000 / \30 ignores fixed costs.
D	Inverted operation	Subtracts the target profit from fixed costs.

10. Answer A Concept 7

A bottling plant budgeted 10,000 cases with variable costs of \$4 per case and fixed costs of \$20,000. It produced 12,000 cases ~~after winning a new grocery contract~~. Actual total cost was \$70,000. What flexible budget cost should actual cost be compared with?

Target word: flexible budget amount **Decides:** Restate variable costs at actual volume.

A	Correct	$\$20,000 + (12,000 \times \$4) = \$68,000$.
B	Confusion set	The static budget at 10,000 cases.
C	Inverted operation	Flexes the fixed cost too, as if \$20,000 were per 10,000 cases.
D	Dropped element	Leaves out fixed costs.

11. Answer D Concept 7 • transfer

Actual costs were \$70,000. The static budget was \$60,000 and the flexible budget at actual volume is \$68,000. What is the spending variance, and how is it labeled?

Target word: variance against flexible budget **Decides:** Actual – flexible.

A	Confusion set	Compares to the static budget, mixing volume with spending.
B	Inverted operation	Spending above budget on a cost is unfavorable.
C	Adjacent category	That gap is the volume effect, not spending.
D	Correct	$\$70,000 - \$68,000$; costs above the flexed budget are unfavorable.

12. Answer B Concept 8

A bicycle manufacturer ~~with a showroom downtown~~ incurs factory rent, frame steel, assembly-line wages, and sales commissions. ~~Its sales staff are paid monthly~~. Which cost is a period cost?

Target word: identify period cost **Decides:** Selling costs are period costs.

A	Confusion set	Manufacturing overhead, a product cost.
B	Correct	Selling costs are expensed in the period incurred.
C	Absolute language	Manufacturers still have period costs outside the factory.
D	Confusion set	Direct materials, a product cost.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	5	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	7	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	2	
Confusion set	Every option is real; the test is exact role-matching.	10	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Financial vs. managerial accounting	Financial accounting reports past results to outside users under GAAP; managerial accounting gives internal decision makers detailed, often forward-looking information with no required format.	Thinking internal forecasts and segment reports must follow GAAP, or that investors receive managerial reports.	Who the user is (outsiders vs. managers) and whether the report looks backward or forward.
2	The accounting equation	Assets = Liabilities + Equity after every transaction.	Adding liabilities to assets, or changing only one side.	Two of the three totals are given, or a transaction mixes cash and borrowing.
3	What each financial statement shows	Income statement = revenue and expenses for a period; balance sheet = assets, liabilities, and equity at a date; cash flow statement = cash in and out by operating, investing, and financing.	Looking for cash sources on the income statement.	"For the year" vs. "as of," or a question about where cash came from.
4	Gross profit vs. operating income	Gross profit = sales – cost of goods sold; operating income subtracts operating expenses from gross profit.	Subtracting operating expenses when asked for gross profit.	Sales, COGS, and operating expenses in the same stem.
5	Fixed vs. variable costs	Variable costs change in total with activity; fixed costs stay the same in total within the relevant range.	Calling a cost variable because its amount is large or because it is paid often.	"Per unit" or "regardless of volume."
6	Break-even and target profit	Units needed = (fixed costs + target profit) / contribution margin per unit; break-even uses a target profit of zero.	Dividing by price instead of contribution margin.	A price, a variable cost per unit, and a fixed cost total.
7	Flexible vs. static budgets	A flexible budget restates costs at the actual activity level so variances reflect spending, not volume.	Comparing actual costs at a higher volume to the original static budget and calling the difference overspending.	Actual volume differs from budgeted volume.
8	Product vs. period costs	Product costs (direct materials, direct labor, manufacturing overhead) attach to inventory and are expensed as cost of goods sold when sold; period costs (selling and administrative) are expensed when incurred.	Treating every cost in a manufacturing company as a product cost.	Whether the cost happens in the factory or in selling/administration.

Course scope (public description): Introduction to Business Accounting provides students with an introduction to the discipline of accounting and its context within the business environment. This course will help students gain a fundamental knowledge of the role of financial and managerial accounting and the use of financial statements, budgeting, and managing costs and profits in business. This course is designed for business generalist students. There are no prerequisites for this course.